AI STRATEGY · PRE-READ

Getting more from every kilogram, on today's lines and the new ones

UFlex Limited · November 2026

Prepared from UFlex disclosures up to Q1 FY27 and public industry sources. Figures will be refreshed after the Q2 FY27 results.

PLUMB ADVISORY

SUMMARY

Commit ₹18 cr first, and roll out only when one line clears its own break-even

₹18 cr

Stage 1: one pilot line, inventory planning, recycling quality, Dharwad instrumentation

1.02%

of film output removed as scrap on the pilot line: where the roll-out pays for itself

₹34 cr

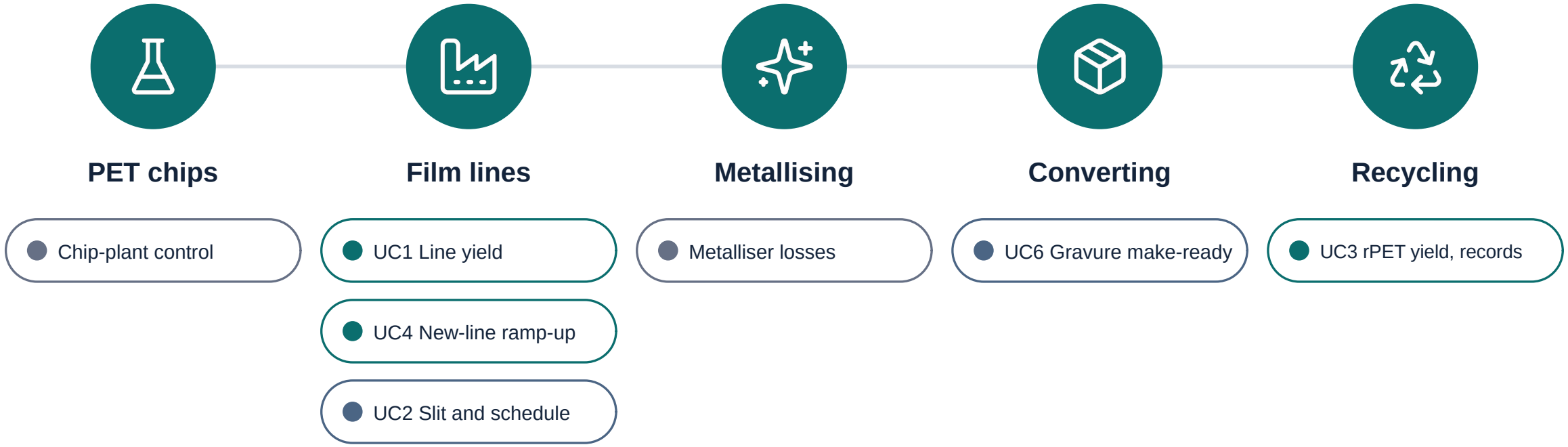
recurring benefit in year 5 (base); ₹14 cr after the programme's own running cost

One-off value comes on top: about ₹61 cr of inventory cash and ₹8 cr from faster ramp-up of new lines.

Source: PLUMB model built on UFlex FY26 Annual Report and Q1 FY27 investor presentation; base case, pre-tax, ₹ crore.

WHERE AI APPLIES

UFlex runs the whole chain from resin to pack, so AI can work at every step



SCALE TODAY

Stage 1 · After Gate 2 · Sized in sprint

Panipat, Egypt	636,160 t	238,600 t	78.7%	113,917 t
SITES	CAPACITY	CAPACITY	UTILISED	CAPACITY

Source: UFlex Q1 FY27 investor presentation (annual capacities; converting utilisation in Q1 FY27). UC5, inventory and cash forecasting, sits across the group in Stage 1.

UFlex already reports AI in six places; the sprint finds out what each delivers

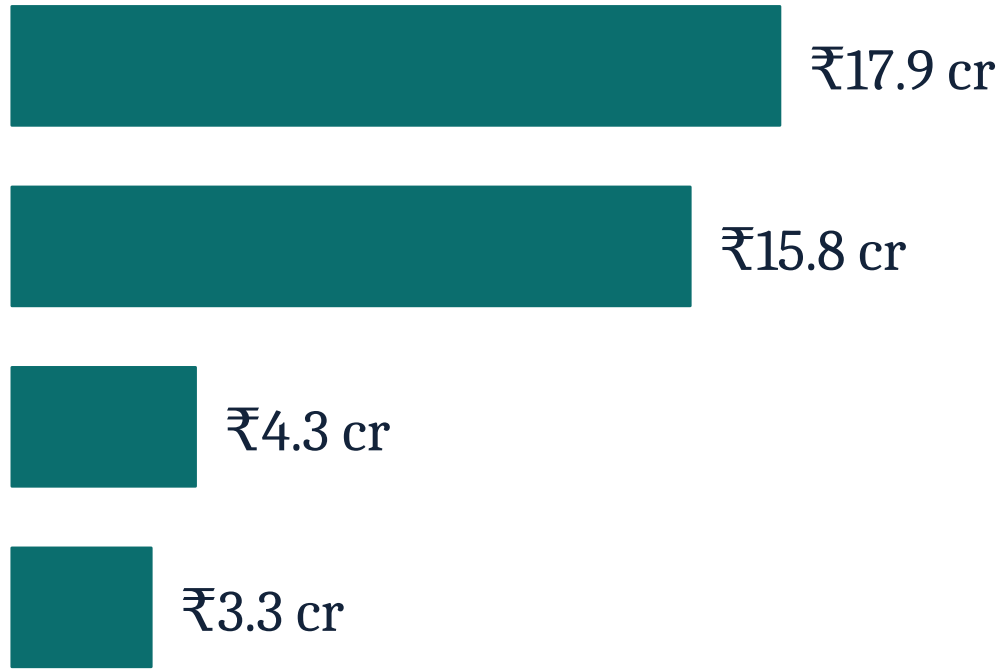
	Reported	Result published
Engineering: predictive maintenance in machines	●	○
Holography: AI quality control, track-and-trace	●	○
Films: AI-led product development	●	○
Recycling: AI-enabled segregation, traceability	●	○
People: AIM-AIA leadership programme	●	○
Gravure: Ceruflex 500 remote monitoring	●	○

● Yes ○ Not in public reports

Source: UFlex Annual Reports FY25 and FY26. A maturity assessment needs UFlex's people, systems and data, so it is part of the sprint.

VALUE

Four use cases are worth about ₹41 cr a year at full rate, built on tonnes



Recurring ₹41.2 cr — a year at full rate, base case

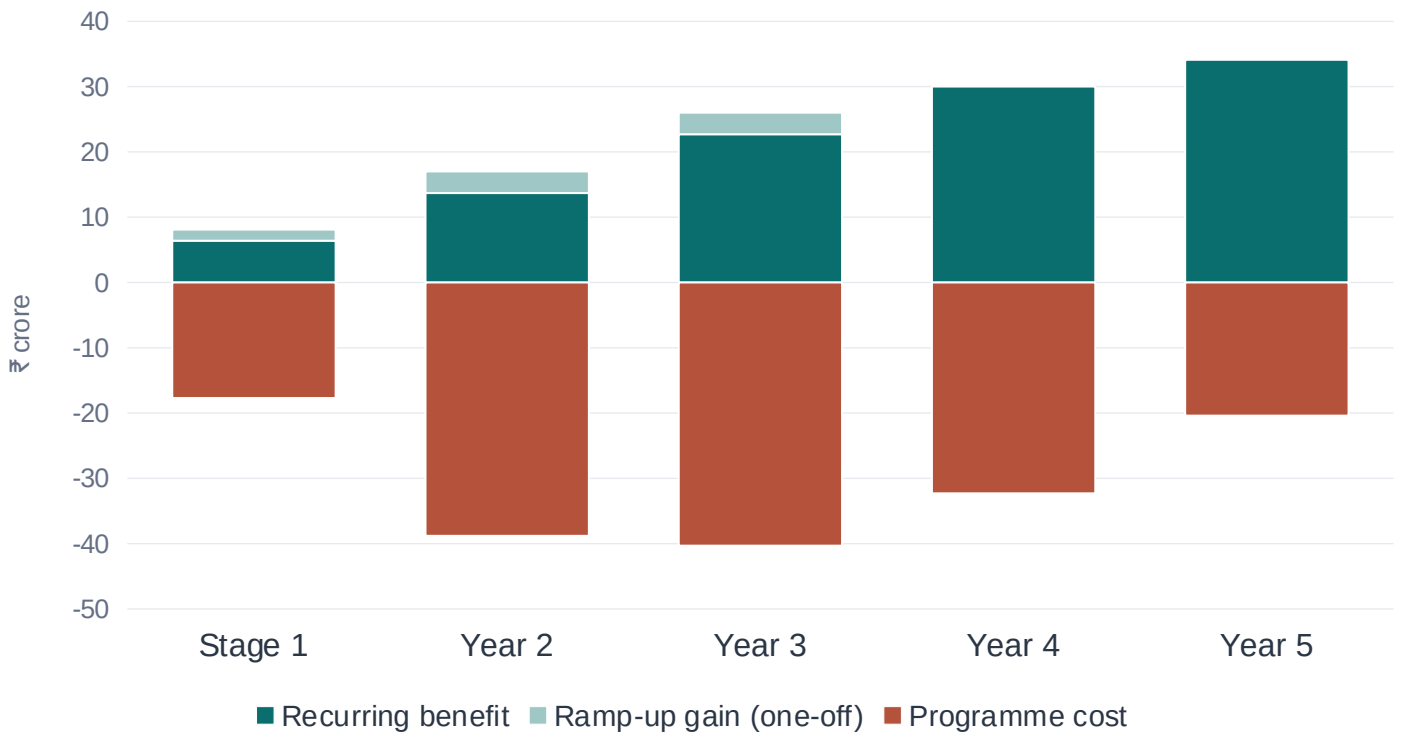
ONE-OFF, SHOWN APART

- ₹61 cr inventory cash
- ₹8 cr faster ramp-up
- Interest not counted

Source: PLUMB model. UC1: 492,779 t × 0.6% scrap removed × ₹110/kg × 30% value lost, plus 2% energy. UC3 at full recycling utilisation; year 5 reaches ₹34 cr while this ramps.

FIVE YEARS

Year 5 is cash-positive in the base case; Gate 2 decides whether years 2 to 5 happen



FIVE-YEAR NPV, PRE-TAX

Low case	–₹96 cr
Base case	–₹30 cr
High case	+₹50 cr
Base, with steady state after year 5	+₹35 cr
Base, with inventory cash	+₹86 cr

Low case assumes a 25% cost overrun. Build cost charged when spent.

That is why the money is staged: ₹18 cr is committed before anyone knows UFlex's own rates.

Source: PLUMB model, base case, ₹ crore, 12% discount rate. EBITDA view excluding capitalisable build is in the full strategy.

ARCHITECTURE

One data foundation, built once, serves every use case and recycled-content record

Plant and ERP	Plant edge	Data foundation	AI services	Applications
EXISTING Line controls, OEM services, inspection, lab, energy meters	NEW Read-only exports by UFlex IT; no remote OT access	NEW One model of site, line, grade, order and roll	NEW Cause-finding and early break warning	NEW Shift-lead advice with reasons shown
EXISTING ERP: orders, stock, purchases in nine countries	NEW Historian per site where missing	NEW Records from resin to pack	NEW Forecasts for stock, cash and FX	NEW Value ledger owned by group finance

EXISTING NEW Security across all layers: IEC 62443 segmentation before any integration.

Source: PLUMB reference architecture. Vendors are chosen by UFlex; PLUMB takes no fees from technology vendors.

Three gates decide each next commitment, with group finance signing the results



Gate 1 · week 2

A line and a problem chosen, the data agreed, and installed tools listed



Gate 2 · month 10

Pilot line against a control: 1.02% scrap removed, 3.4% energy saved



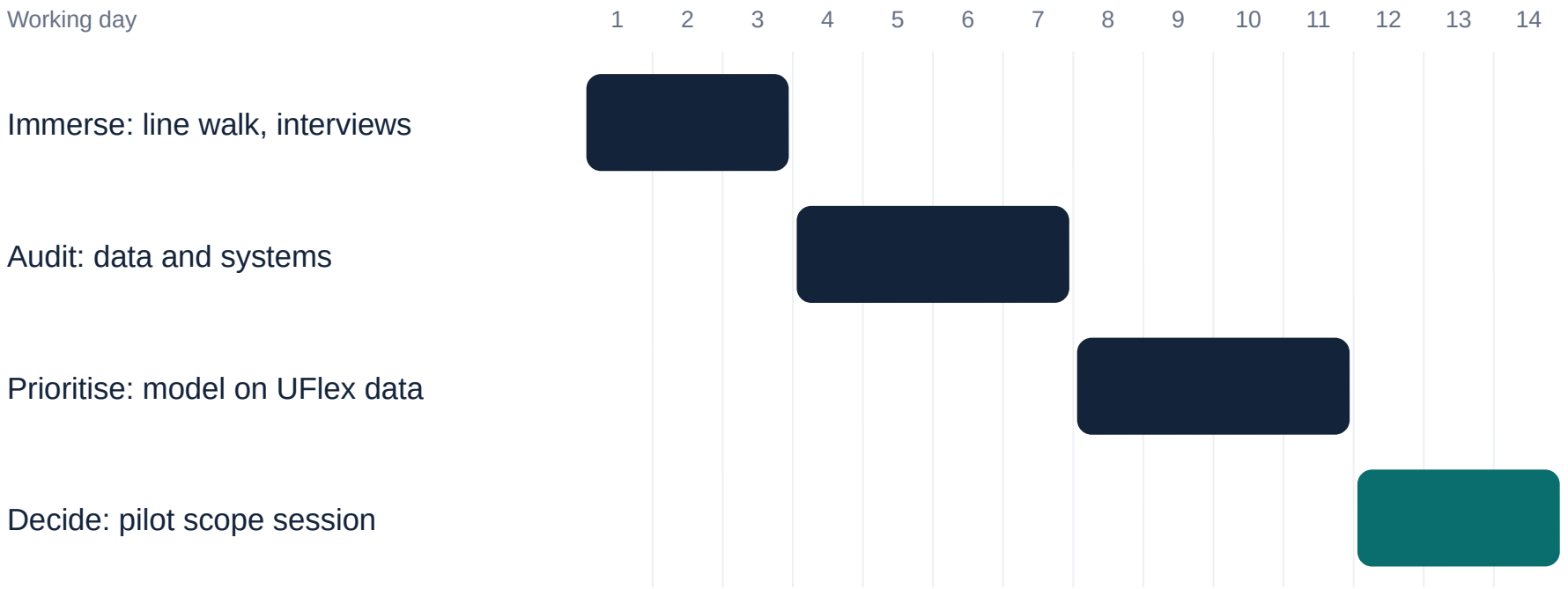
Gate 3 · month 18

India sites tracking measured rates before any overseas roll-out

Below the Gate 2 line, UFlex keeps the enterprise use cases and the data foundation, and does not roll out the film-line work.

NEXT STEP

The first step is a two-week sprint on one line and one problem UFlex chooses



YOU RECEIVE

- Installed AI and line tools listed
- Data check for the chosen problem
- Business case on UFlex numbers
- Gate 2 test agreed with finance

THE ASK

A short session with film technical leadership to choose the line and the problem. The sprint has a fixed fee; UFlex owns the deliverables and is not obliged to continue.

Working days. Data is read-only and exported by UFlex IT; nothing connects to plant networks.

PLUMB Advisory: independent AI strategy, measured on results

- Independent: no reseller, referral or implementation fees from any technology vendor
- Fixed fee for the sprint; pilot fees capped, with part held back until Gate 2 is signed off
- Film-process expertise on the team: ***‹to confirm: named specialist›***
- This pre-read uses public information only: UFlex filings, investor presentations and industry sources
- Deepak Waghmare, Founder · ***‹to confirm: PLUMB email and phone›***